



2025

DAIRY VALUE CHAIN

Investment Proposal

A Strategic Initiative for
Food Security, Rural
Empowerment, and Import
Substitution in Eswatini

Presented By:

ATG Finance



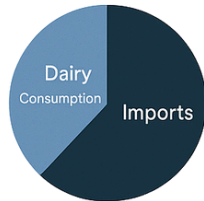
Presented To:

Public Service
Pensions Fund



EXECUTIVE SUMMARY

Executive Summary



88 million liters
consumed annually



76% fulfilled by
imports

Proposed Solution



Vertically integrated
milk processing



Reduce
imports



Create
jobs



Support local
farmers



Ensure food
security

The Kingdom of Eswatini faces a significant gap in its dairy industry: while the population consumes approximately 88 million liters of dairy products annually, over 76% of this demand is fulfilled through imports. This heavy reliance on external supply leaves the country vulnerable to global market volatility, supply chain disruptions, and elevated food insecurity.

Our proposed solution is a vertically integrated milk and Amasi (fermented milk) processing company that sources raw milk from local farmers at fair trade prices, processes it using state-of-the-art equipment, and distributes value-added dairy products to the domestic market.

By investing in this project, the PSPF would play a pivotal role in:

- Reducing import dependency
- Creating jobs
- Empowering smallholder farmers and youth
- Ensuring national food security

Investment Request

R12 448 444.00

The project will generate substantial returns, with a projected ROI of 35% within the first three years of operation.



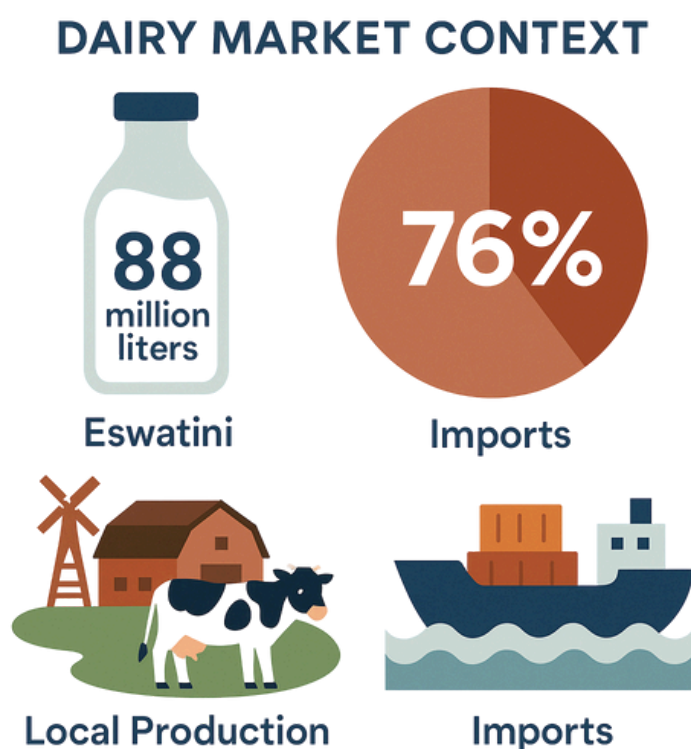
Background and Market Context

Eswatini's dairy sector suffers from systemic underproduction. The local industry produces less than 25% of national demand, creating a gap filled by costly imports from neighboring countries.

Most dairy imports flow from South Africa and Mozambique, while local dairy farming is concentrated in select regions. This uneven production and reliance on cross-border logistics inflate prices and create market vulnerability.

According to the Eswatini Dairy Board, the cost of producing a liter of milk is approximately R9, yet processors purchase it for as little as R7. This mismatch has discouraged production and expansion by local farmers.

Below is a visual presentation on the dairy market context:



Therefore this project is designed to correct these market inefficiencies. By establishing a local processing plant and offering farmers a purchase price of R11 per liter, the proposed business ensures farmer profitability, increases supply, and satisfies unmet domestic demand. It is aligned with Eswatini's development priorities, including food security, economic diversification, and rural development.

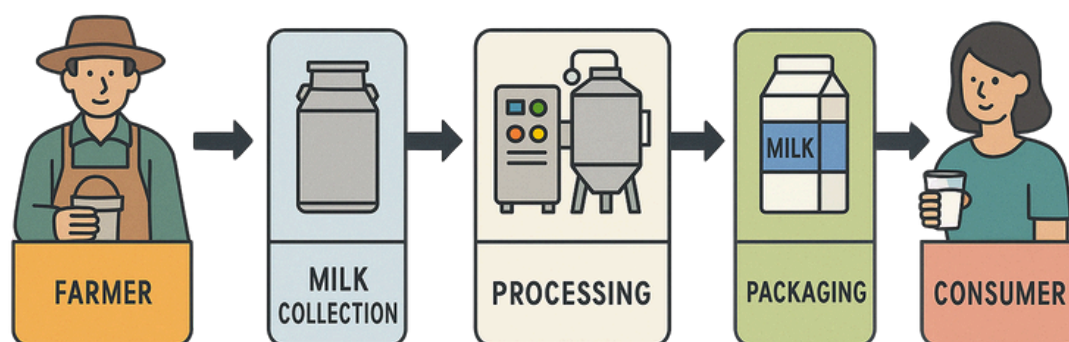


Business Model and Value Chain Strategy

Our business model centers on forward integration — moving from raw milk sourcing to value-added processing and distribution. Key components of the model include:

- **Supplier Engagement:** Partner with local dairy farmers, particularly smallholders, women, and youth groups, under long-term supply agreements with favorable terms.
- **Processing:** Establish a fully equipped facility capable of producing 1500 liters of UHT milk and 1000 liters of Amasi daily, utilizing modern technologies such as homogenization, pasteurization, and fermentation.
- **Packaging:** Emphasize sustainable packaging solutions, such as recyclable pouches and biodegradable materials.
- **Distribution:** Develop distribution partnerships with major supermarkets, informal markets, government feeding programs, and school meal schemes.
- **Expansion Readiness:** Design the facility for modular growth, allowing seamless integration of additional product lines such as yogurt and cheese in the future.

The diagram below shows a visual presentation of the value chain:



This approach will allow us to capture value at each stage of the dairy value chain, increasing profitability while delivering societal benefits.



Product Line Overview

Phase 1 – Initial Product Range (Year 1–2):

UHT Milk (Ultra-High Temperature Milk)

- **Target Market:** Urban and rural households, schools, hospitals, retailers.
- **Packaging:** 500ml and 1L Tetra packs with 9-month shelf life.
- **Benefits:**
 - Shelf-stable — no cold chain needed during distribution
 - Affordable alternative to fresh milk imports
 - Fortifiable with Vitamin D and calcium

Pricing Strategy: Competitive R19–R22/liter to undercut imports

Amasi (Fermented Milk)

- **Target Market:** Low- to middle-income households, culturally inclined consumers, and school feeding programs.
- **Packaging:** 500ml pouches and 2L reusable containers.
- **Production Method:** Batch fermentation using bacterial cultures and pasteurization.
- **Benefits:**
 - High demand in traditional diets
 - Promotes gut health and local food identity
 - Shorter production lead time than UHT milk
- **Pricing Strategy:** Affordable pricing (~R15/liter) with healthy margins

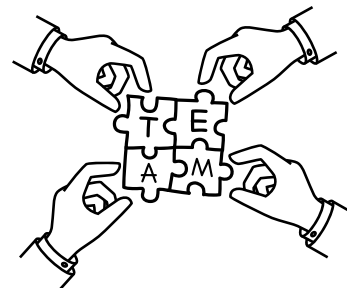
Future Expansion Products (Phase 2):

- Yogurt: Plain and flavored varieties, targeting schools, children, and health-conscious adults.
- Cheese: Including cheddar, gouda, and soft cheese for households and foodservice.
- Butter: Fresh and shelf-stable varieties, catering to baking and culinary uses.

This phased approach reduces initial capital risk while creating room for expansion as revenue and market share increase.



Human Resources & Management Structure



Operations Team: Experienced and Industry-Tested

Our operations team will be led by **experienced dairy plant operators and production managers** who have worked in similar facilities across Eswatini and Southern Africa. These professionals bring practical, on-the-ground knowledge in:

- UHT and fermented milk processing
- Quality assurance and HACCP implementation
- Equipment calibration and maintenance (e.g., pasteurizers, homogenizers)
- Supply chain logistics and cold chain optimization

The team will include:

- Production Manager (10+ years experience in dairy operations)
- Lab Technician / QA Officer
- Plant Operators & Packaging Line Workers
- Cold Chain & Distribution Officer

This ensures production starts strong — with minimal learning curve and reduced commissioning risk.

Financial Management: Robust Controls & Transparency

Financial governance will be handled by a qualified Finance Manager with direct experience in agribusiness operations in Southern Africa.

- **Budget oversight** and real-time tracking using accounting software (e.g., Sage or QuickBooks)
- **Supplier payment controls**, payroll management, and monthly reconciliations
- **Investor reporting** including quarterly financial statements and variance analysis
- **Annual independent audit** to ensure transparency and funder confidence.

This structure ensures that capital is protected, and that the business operates with high accountability.

Human Resources & Management Structure

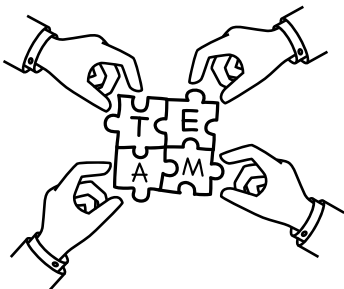
Strategic & General Management

The business will be led by a Managing Director with proven agribusiness experience and supported by a Board Advisor with food industry background. This leadership will:

- Drive expansion into new product lines (e.g., yogurt, cheese)
- Forge partnerships with retailers like OK Stores, schools, and wholesalers
- Guide ESG integration and sustainability certification
- Lead grant/donor acquisition, investor relations, and long-term growth planning

Summary Table

Management Area	Role & Strength
Operations	Industry-trained production team
Financial Management	Financial accountant with extensive finance skills
Strategic Leadership	MD with track record in agribusiness scale-up
Governance	Board-level oversight and external audits





Market Analysis

Key Players in Eswatini's Dairy Sector

Eswatini's dairy industry is characterized by a combination of large-scale processors and smaller producers, with a significant portion of dairy products being imported to meet domestic demand. The sector includes:

- **Large-scale processors:** Entities like Lactalis Eswatini (formerly Parmalat) dominate processing and distribution.
- **Regulatory bodies:** The Eswatini Dairy Board (EDB) oversees regulation and development.
- **Emerging players:** Companies like Eswatini Dairy (Pty) Ltd are entering the market with integrated models.

Stage	Key players	Activities
Input Supply	Eswatini Dairy Board, Input Suppliers	Provision of feeds, veterinary services, training
Production	Smallholder Farmers, Eswatini Dairy	Milk production
Processing	Lactalis Eswatini	Pasteurization, fermentation, packaging
Distribution	Lactalis Eswatini, Retailers	Nationwide distribution to retailers and consumers
Regulation & Support	Eswatini Dairy Board	Quality control, licensing, industry development

Market Dynamics

- **Demand:** Eswatini's annual milk demand is approximately 88 million liters, with local production meeting only about 24% of this demand, leading to a reliance on imports which indicates gaps in the market.
- **Opportunities:**
 - **Import Substitution:** Potential to increase local production to reduce import dependency.
 - **Product Diversification:** Opportunities in producing value-added products like cheese and yogurt.

Marketing Strategy



Our dairy brand will position itself as a **locally sourced, high-quality, and culturally relevant alternative** to imported dairy products — built on fair trade, freshness, and affordability. We will emphasize national pride and support for local farmers while offering consistent quality that meets or exceeds established market leaders.

Retail Channel Strategy: Shelf Space with OK Stores

Why OK Stores?

- One of Eswatini's most accessible and high-traffic retail networks
- Present across both urban and peri-urban areas
- Existing cold-chain and shelf-ready dairy category with high footfall
- Preference for local suppliers due to reduced logistics risk and growing consumer loyalty to “Made in Eswatini” products.

Retail Strategy at OK Stores

- Secure branded shelf space for:
 - 500ml and 1L **UHT Milk**
 - 500ml **Amasi (fermented milk)** in pouch and bottle formats
- **In-store promotions:** tastings, nutritional information, and discounts
- **Shelf talkers** and signage promoting:
 - “Fresh from Eswatini Farms”
 - “Empowering Local Farmers with Every Purchase”

Distribution Strategy

- **Primary Focus:** Urban centers — Mbabane, Manzini, Matsapha
- **Secondary Focus:** Schools, government meal programs, corner stores
- **Partners:** Leverage OK Stores as anchor retailer, then scale to Spar, Pick n Pay, and wholesalers like Boxer.





“Branding and Communications”

Channel	Strategy
Social Media	Facebook, WhatsApp groups for parenting & youth nutrition awareness
Radio Campaigns	Local language promotion of Amasi and milk nutrition
Outreach Events	In-store demos, dairy day roadshows, school activations
Packaging Design	Clean, trust-inspiring visuals with local iconography (Nguni cow, Eswatini flag)





Target Market and Demand Forecast

The Eswatini dairy market is characterized by high consumption and unmet domestic demand. Key customer segments include:

- **Urban Households:** Seeking safe, long-life, locally produced milk and dairy products.
- **Schools and Institutions:** Requiring nutritious, cost-effective dairy options.
- **Retail Chains and Wholesalers:** Interested in reliable, competitively priced local suppliers.

Market Size & Penetration Potential

- Current national dairy demand = ~88 million liters/year
Local production = <25% (~22 million liters)

Imports = ~66 million liters/year

We project the following market share capture:

Year	Projected Sales Volume (liters)	Market Penetration (%)
2025	750,000 L	~0.85%
2026	1,000,000 L	~1.15%
2027	2,500,000 L	~2.8%
2028	5,000,000 L	~5.7%

The market penetration forecast assumes a gradual ramp-up driven by increased production capacity, brand awareness, and access to institutional buyers. Initial uptake is modest, reflecting startup constraints, but growth accelerates with product diversification and national support for local sourcing. The projected 5.7% share by 2028 is realistic given Eswatini's high import reliance and rising domestic demand.



SWOT Analysis



A strategic SWOT analysis was conducted to assess the internal capabilities and external environment influencing the proposed dairy venture. The business exhibits clear strengths in supplier integration and ESG alignment, while also facing typical startup challenges such as brand building and infrastructure costs. The opportunity to replace 76% of imported dairy offers a high-growth pathway, though market entry risks and climate variability must be proactively managed. It should also be noted that the PSPF has a business that has been funded that produces milk, but is not profitable. Below is a visual presentation of the SWOT analysis.



Budget Estimate



Infrastructure Requirements:

- Modern dairy processing facility with designated UHT and fermentation lines. Cold storage and distribution logistics.
- Office and quality assurance laboratories.

No	Description	Amount	Percentage
01	UHT Plant	R6,000,000	48%
02	Pasteurizer	R800,000	6%
03	Homogenizer	R2,000,000	16%
04	Fermentation Pots	R33,000	0%
05	Filler Machine	R2,000,000	16%
06	Labeling Machine	R99,000	1%
07	Cold Storage	R300,000	2%
07	Operating Expenses	R1,216,444	10%
Total		R12,448,444.00	100%

Operational Calendar:

- Month 1: Facility identification, procurement
- Month 2: Installation and staff onboarding
- Month 3: Initial production, market rollout



Financial Overview



Key Assumptions

- Production Volume:
 - UHT Milk: 1,500 liters/day
 - Amasi: 1,000 liters/day
- Operational Days: 300/year
- Average Selling Price: R20/liter
- Milk Procurement Cost: R11/liter (fair trade pricing)

Annual Financial Summary	
Metric	Amount
Total Revenue	R16,632,000
Total Cost of Sales	R13,234,368
Gross Profit	R3,397,632
Operating Expenses	R1,362,960
Estimated Net-Profit	R1,475,137.20





Appendices

1. Profit and Loss Statement (5 Years)-attached
2. Cashflow statement (12 months)



Profit & Loss Statement for M	Year 1	Year 2	Year 3	Year 4	Year 5	Total
Details						
Revenue	16,632,000	17,463,600	18,336,780	19,253,619	20,216,300	91,902,298.95
Cost of sales	13,234,368	13,896,086	14,590,891	15,320,435	16,086,457	73,128,237.39
Gross profit	3,397,632	3,567,514	3,745,889	3,933,184	4,129,843	18,774,061.56
Operating expenses						
Rental costs	480,000	504,000	529,200	555,660	583,443	2,652,303.00
Logistic costs	192,000	201,600	211,680	222,264	233,377	1,060,921.20
Marketing costs	498,960	523,908	550,103	577,609	606,489	2,757,068.97
Salaries and Wages	192,000	201,600	211,680	222,264	233,377	1,060,921.20
Total expenses	1,362,960	1,431,108	1,502,663	1,577,797	1,656,686	7,531,214.37
Profit before tax						
	2,034,672	2,136,406	2,243,226	2,355,387	2,473,157	11,242,847.19
Taxation						
	559,535	587,512	616,887	647,731	680,118	3,091,782.98
Net profit	1,475,137	1,548,894	1,626,339	1,707,656	1,793,038	8,151,064.21

12 month Cashflow statement

Period	Month 1	Month 2	Month 3	Month 4	Month 5	Month 6	Month 7	Month 8	Month 9	Month 10	Month 11	Month 12
Receipts												
Opening Balance	0	1,386,000.00	1,555,556.00	1,725,112.00	1,894,668.00	2,064,224.00	2,233,780.00	2,403,336.00	2,572,892.00	2,742,448.00	2,912,004.00	3,081,560.00
Initial Capital Invested	12,448,444.00	0	0	0	0	0	0	0	0	0	0	0
Sales	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00	1,386,000.00
Total Inflow	13,834,444.00	2,772,000.00	2,941,556.00	3,111,112.00	3,280,668.00	3,450,224.00	3,619,780.00	3,789,336.00	3,958,892.00	4,128,448.00	4,298,004.00	4,467,560.00
Outflow												
CAPEX												
Purchasing of equioment Equipment												
UHT Plant	6,000,000.00											
Pasteurizer	800,000.00											
Homogenizer	2,000,000.00											
Fermentation Pots	33,000.00											
Filler Machine	2,000,000.00											
Labeling Machine	99,000.00											
Cold Storage	300,000.00											
OPEX												
Cost of sales	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00	1,102,864.00
Rental costs	40,000.00	40,000.00	40,000.00	40,000.00	40,000.00	40,000.00	40,000.00	40,000.00	40,000.00	40,000.00	40,000.00	40,000.00
Logistic costs	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00
Marketing costs	41,580.00	41,580.00	41,580.00	41,580.00	41,580.00	41,580.00	41,580.00	41,580.00	41,580.00	41,580.00	41,580.00	41,580.00
Salaries and Wages	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00	16,000.00
Total Outflow	12,448,444.00	1,216,444.00	1,216,444.00	1,216,444.00	1,216,444.00	1,216,444.00	1,216,444.00	1,216,444.00	1,216,444.00	1,216,444.00	1,216,444.00	1,216,444.00
Net Cashflow	1,386,000.00	1,555,556.00	1,725,112.00	1,894,668.00	2,064,224.00	2,233,780.00	2,403,336.00	2,572,892.00	2,742,448.00	2,912,004.00	3,081,560.00	3,251,116.00

